emphasis of the economic program was rural projects rather than industrialization.

Additionally, the issues confronting the newly independent Burmese state included nationalization, industrial development, and land reform. Burma's leaders were committed to altering the nation from an agrarian rice-based export economy to a balance between agriculture and industry. The newly independent state was trying to transform Burma using its own financial, intellectual, and technical resources. Financial shortcomings led to an overreliance on the sale of rice to support the new economic sectors. U Nu's goal was a welfare state that would be fiercely independent. The overwhelming burden for economic development fell on the government.

Burma depended on the individual farmer to make key decisions concerning the technical side of agriculture. The state was present to facilitate the lending process and the marketing of the rice. Ultimately the state was the owner of the land, even though the private sector controlled key decision making. From the technological aspect, Burma was backward. Simple plows, water buffalos, and natural fertilizers were still used, keeping output down. Burma did not fare well in comparison to other nations within the region. The government through the State Agricultural Marketing Board (SAMB) purchased the product at a low fixed rate and quality control was not taken into account.

During the Korean War, global demand for rice increased, which helped the Burmese economy. Following this period, demand fell sharply and the notoriously poor quality of Burmese rice lead to a marked decline. The problem at times was with the state because the government did not encourage the farmers to cultivate a higher-quality product. The vast majority of peasant farmers were conservative by nature. Ultimately, the basic farmer wanted little beyond what he grew and, most of all, to be left alone by government and insurgents.

Foreign entrepreneurs and business firms heavily populated Burma's business sector. This sector looked abroad for Western models that would help develop the economy. However, the government was beset with corruption and mismanagement, which hurt the development of this sector of the economy.